Revenue Recognition and Work-in-Progress Policy

Long-term construction contracts, service work, controls projects, estimates at completion, and month-end close

Policy owner	Controller
Effective date	November 1, 2024
Policy number	FIN-REV-04
Approved by	Chief Financial Officer
Applies to	Construction - Portland; Construction - Central Oregon; Service; Building Controls
Supersedes	FIN-REV-03 dated January 2022

1. Purpose and control objective

This policy establishes consistent recognition of contract revenue and gross profit, segregation of contract assets and liabilities, and governance over project estimates. It is designed so that the monthly WIP schedule can be traced to posted job cost, contract billings, executed commercial terms, and documented remaining-cost judgments.

Control principle

Vista ERP is authoritative for posted actual cost, billings, cash, accounts receivable, and accounts payable. Workbooks supplement the ledger with estimates, commentary, and proposed entries. A workbook does not become posted actual merely because it is labeled final.

2. Scope and contract classification

Long-term fixed-price, GMP, and design-build contracts are generally recognized over time when performance creates or enhances an asset controlled by the customer and project progress can be measured reliably. Time-and-material not-to-exceed work is recognized as labor, material, and approved markups are earned, subject to contractual ceilings. Service agreements and quoted repair work are recognized as the related service is performed.

- Executed base contracts and bilateral change orders form current contract value.
- Submitted, under-review, pricing, and draft change requests do not increase contract value merely because the work is probable.
- Unavoidable cost exposure may increase EAC before related commercial recovery is recognizable.
- Retainage affects billing and collection timing but does not by itself change earned revenue.

3. Cost-to-cost measurement

For qualifying construction contracts, progress is measured using cost incurred to date divided by estimated cost at completion (EAC). Earned revenue equals current contract value multiplied by the resulting percent complete, capped at 100% unless the Controller approves a documented exception.

Measure	Formula	Control interpretation
Estimated cost at completion	Posted cost to date + approved forecast ETC	EAC cannot be below posted cost to date.
Percent complete	Posted cost to date / EAC	Cap at 100%; evaluate loss contracts separately.
Earned revenue	Current contract value x percent complete	Executed contract value only.
Contract asset	max(earned revenue - billings, 0)	Underbilling is recorded gross by project.
Contract liability	max(billings - earned revenue, 0)	Overbilling is recorded gross by project.

Eligible cost and abnormal items

Direct field labor and burden, installed and consumed materials, project-specific subcontract cost, equipment rental, permits, engineering, and project supervision are generally included. Significant inefficiency, rework outside normal expectations, idle equipment, and costs that do not depict performance are evaluated for immediate expense and must not be used to inflate progress.

4. Estimate-at-completion governance

The project manager owns the operating estimate; Finance owns the close estimate and the accounting conclusion. PM submissions provide remaining labor, material, subcontract, commissioning, close-out, contingency, and narrative assumptions. Finance rolls actual cost through the close cutoff, retains remaining cost that has not been consumed, and adds supported exposure omitted from the PM submission.

- Do not reduce ETC for a disputed backcharge, claim, or recovery until enforceability and acceptance are persuasive.
- Include probable, unavoidable cost before the related pending change-order revenue when authorization is incomplete.
- Escalate forecast losses immediately and recognize the full expected loss in the current period.
- Retain a close-out reserve until punchlist, commissioning, O&M; manuals, training, and warranty handoff are substantially complete.

5. Change orders and claims

Executed changes are recorded in Vista ERP and may enter current contract value. Pending changes require separate analysis of enforceable rights, scope approval, pricing, collection probability, and the extent to which amounts are highly probable not to reverse. The normal close convention is to exclude pending revenue while incorporating unavoidable forecast cost.

Evidence hierarchy

Evidence	Normal accounting weight	Examples
Executed bilateral change order	High	Signed owner/GC authorization, price and schedule terms
Written directive with enforceable pricing mechanism	Moderate to high	Proceed directive tied to contract clause
Submitted pricing / owner review	Low for revenue	Formal proposal without acceptance
Internal backcharge or recovery position	Low	Draft claim, unaccepted allocation, disputed responsibility
Verbal field direction	Insufficient alone	Meeting discussion or superintendent note without authority

6. Monthly close procedure

The preparer completes the following sequence and retains source reports with parameters, cutoff, and refresh timestamp:

- Obtain current contract, posted job cost, and billing detail from Vista ERP as of the close cutoff.
- Reconcile each imported actual and the schedule totals to system reports.
- Roll PM remaining-cost forecasts to the cutoff and evaluate risk/opportunity evidence.
- Calculate EAC, percent complete, earned revenue, gross contract assets/liabilities, and project margin.
- Compare margin to prior close; investigate movements greater than 100 basis points and all low-confidence estimates.
- Prepare a proposed journal entry that ties exactly to the final schedule; obtain Controller approval before posting.

7. Journal entry and presentation

Contract assets and contract liabilities are presented gross by project and must not be netted. The month-end entry records the required gross balance and corresponding WIP revenue adjustment. Prior-month WIP entries reverse automatically on the first day of the next period; the new close entry re-establishes the cumulative required balance.

Illustrative entry structure

Account	Debit	Credit	Description
1200 Costs and earnings in excess of billings	XXX		Gross contract assets by project
2100 Billings in excess of costs and earnings		XXX	Gross contract liabilities by project
4300 WIP revenue adjustment	Balancing	Balancing	Net income-statement effect

8. Review thresholds

Controller review is mandatory when any of the following occurs:

- Forecast loss or EAC at/above current contract value.
- Month-over-month margin movement exceeding 100 basis points.
- Material contract asset without a current billing explanation or planned billing date.
- Pending or disputed commercial recovery embedded in current contract value or ETC.
- Low-confidence estimate, stale PM submission, or missing current-system reconciliation.
- Manual override of calculated percentage complete, earned revenue, or gross presentation.

9. Retention and access

Final WIP schedules, source reports, PM submissions, risk registers, supporting contract evidence, review notes, and posted-entry references are retained in the monthly close archive for seven years. Access is limited to Finance, authorized Operations leadership, and internal or external reviewers with a business need.

Revision history

Revision	Effective	Owner	Summary
2024-11	2024-11-01	Controller	Clarified asymmetric treatment of pending revenue and probable cost; added margin-review threshold.
2022-01	2022-01-01	Controller	Aligned cost-to-cost model and monthly WIP control with revised contractor accounting configuration.